

Social Media Campaigning

Title: Brand Crisis and Influencer Authenticity

In 2018, Chinese actress and celebrity Fan Bingbing was investigated for tax evasion and contractual issues, which leading to widespread media coverage and the termination of multiple brand partnerships. This scandal highlighted the close connection between the influencers' reputation and brand management. I will connect the content from lectures and analysis this scandal from Fan BingBing as followed and I will present my discussion in chronological order, centering on Fan Bingbing.

Fan Bingbing is one of the most famous actress in China. According to the reality and Gómez (2019, pp.8-29) in contrast with influencer, she gained public recognition because of her professional talent: acting skills and beauty. She got great commercial value, too. Fan Bingbing received a payment of 30 million yuan for her role in the film *The Bombing* in 2018 (Wikipedia, 2023). Also, Fan Bingbing had collaborated with many brands, like Louis Vuitton, Guerlain, Valentino and so on (Pan, 2018). There are two main key benefits for the collaboration between LV and Fan bingbing. On the one hand, as for the perspectives of effectiveness. Firstly, this cooperation campaign enhanced brand visibility and prestige, Fan Bingbing's status as a leading Chinese actress and her international recognition significantly boosted LV's brand visibility. Her appearances at high profile events, such as the Cannes Film Festival,

showcased LV's products to the global audience, reinforcing its image as a luxury brand associated with celebrity and exclusivity (See Appendix A). Then, it is good for the access to the Chinese market for LV. Partnering with Fan provided LV with direct access to the Chinese luxury market. Fan's strong appeal among Chinese consumers enhanced LV's brand visibility and connection with this crucial market (Sheridan, 2025). On the other hand, when it comes to comparative ROI from week 4 lecture, the core benefit of Comparative ROI lies in the fact that, by comparing the investment cost with the returns. For example, brand exposure, enhancement of influence, market penetration, and long-term value. In the Chinese market, Fan Bingbing's influence has led LV to a relatively high return in both short-term exposure and long-term brand value for this cooperation.

While Fan's association with LV initially enhanced the brand's image, the tax scandal in 2018 posed reputation risks. However, studies show that LV's image didn't really take a hit by this, because of its strong brand identity and loyal customers.

The turning point came in 2018, when Fan Bingbing was exposed for using "yin-yang contracts", which means during a business transaction, the contract was signed twice in order to evade taxes. It had triggered widespread public controversy. After an investigation by the State Administration of Taxation China, so that she was fined 883 million yuan (approximately 130 million USD), also be deemed to one of the largest tax evasion fines in China's entertainment history (Birtles, 2018). This incident has continued to generate intense discussions on social media, with "collapse of public

trust” and “damage to moral image” becoming the dominant points of public discussion. From then on, she vanished from mainstream media. Her name no longer appeared in the cast lists of movies or TV series. In March 2018, the cosmetics brand —Fan Beauty was established, which was closely associated with Fan Bingbing.

It is easy to see that when brand working with celebrity, it does not only have benefits, but also have some drawbacks that we can not ignore. As for LV, Fan Bingbing’s tax evasion scandal and extensive media coverage illustrate Agenda-Setting Theory (McCombs & Shaw, 1972) which links public perception of her integrity to the brands she endorses. In response, LV promptly terminated its contract with Fan, a crisis management strategy to protect brand reputation (Coombs, 2007). According to celebrity endorsement theory (Erdogan, 1999), a celebrity’s image directly affects consumer trust and purchase intentions. Fan’s negative publicity likely led to declining sales and trust for LV in Chinese market. This case highlights that in highly mediated markets, brands must act swiftly and manage public opinion to mitigate negative impact while demonstrating social responsibility to safeguard long-term brand value. Unlike western scandals where brands often re-embrace stars post-crisis, Furthermore, based on my experience, I have discovered that Chinese luxury brands maintain moral distance to align with regulatory expectations. In other words, in the eyes of the Chinese market and the audience, the moral and commercial value of an celebrity are closely linked together.

After this scandal, Fan Bingbing is more likely an influencer than a celebrity. When Fan Bingbing can no longer get paid from the entertainment industry, such as TV drama and film endorsements, she shifted from the entertainment industry (actress) to the internet (celebrity). According to Zhao (2021) Fan Bingbing and her brand, illustrate the commercialization of amateur creativity in Chinese social media, as described by the rise of 'wanghong'. Originating from Internet literature and video platforms, wanghong culture professionalizes personal expression and online visibility. Fan uses her celebrity status to transform personal aesthetics, lifestyle, and influence into marketable products. Her social media content blends authenticity with strategic promotion, showing how a public figure navigates the transition from creative self-expression to professionalized, and monetizable labor within China's digital media ecosystem. Another reason for Fan Bingbing's successful transformation is that self-branding. According to Khamis and other authors (2017): self-branding is a marketing strategy for individuals in the era of social media, where they create "unique selling points" to gain attention and economic returns. Self-branding is a key marketing strategy for celebrities like Fan Bingbing in the social media area. By carefully curating her Rednote, Weibo and Instagram contents, she presents a luxurious, confident, and fashionable image that highlights her unique identity and lifestyle. Her posts often blend elements of beauty and charity, reinforcing her "unique selling points". This self-managed branding not only strengthens her influence and fans engagement but also attracts luxury collaborations and commercial opportunities, turning her public image into a profitable and sustainable personal

brand. Her personal image also brings many benefits to her brand. And according to WuGu Fiance (2025) : Fan has achieved notable sales. In 2024, its annual revenue reached ¥1.45 billion (≈\$201 million), ranking 35th among Chinese beauty brands, and we can see from the data that she is a great example of self-branding.

In conclusion, Fan Bingbing accumulated commercial value through her acting achievements and public image. Although the tax scandal led to LV and other brands terminating their partnership, she transformed into a social media influencer via self-branding. Also, Fan Beauty achieved market success, illustrating the interplay of celebrity endorsement, crisis management, and digital creative labor in China's commercial ecosystem.

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Appendix

Appendix A:



Source: Jing Daily, 2013, 'Fan Bingbing's Global Glamour Boosts Luxury Brands at Cannes', May 20 2013, accessed on 11 October 2025,

<<https://jingdaily.com/posts/fan-bingbings-global-glamour-boosts-luxury-brands-at-cannes>>.